OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Four tests Shoalhaven's 2035 tourism strategy must pass before a vote

Sent 30 August 2026 · To Cr Boyd, Cr Killian, Cr Krikstolaitis, Cr Norris, Cr Tribe, Cr Wilkins, Cr Proudfoot, Cr Dunn, Cr Casmiri · Response requested by 20 September 2026

Cr Matthew Norris, Cr Peter Wilkins
Cr Luciano Casmiri, Cr Ben Krikstolaitis, Cr Bob Proudfoot, Cr Jemma Tribe
Cr Gillian Boyd, Cr Karlee Dunn, Cr Debbie Killian

Shoalhaven City Council
OPEN LETTER — Economic Development and Tourism Strategy 2035: the four numbers it must contain

IN THIRTY SECONDS
Council staff are drafting the Economic Development and Tourism Strategy 2035 now.

It goes on public exhibition later this year and you will be asked to adopt it.

Kiama Council has just published its equivalent — a 57-page Visitor Economy Strategy 2035 containing 37 actions and not one dollar figure, whose own targets reduce spending per visitor from $293.70 to $288.95 while adding 700,000 people, and whose KPI table prints the identical number for domestic and international visitors.

Shoalhaven is less able to absorb that mistake than Kiama is: we carry a road renewal backlog of roughly $280 million, three of four OLG asset benchmarks appear in our own budget papers as "TBA", and Council advised in writing last year that "the tourism budget is unable to be extracted".

This letter sets out four tests the draft must pass and eight questions you can put in the chamber before it reaches a vote.

I write in the knowledge that correspondence from this publication has, in recent months, been declined on the basis of guidance relating to unreasonable conduct. I note, for the record, that the application of that guidance to a public interest publication with more than 3,800 local readers is itself a matter currently before the NSW Ombudsman. The questions in this letter are not personal complaints. They are questions of public administration, put openly, on behalf of a readership that represents approximately 5.1 per cent of Shoalhaven's registered voters. They are questions any member of the public could put at an ordinary council meeting. I put them here, in writing, on the public record — and will publish whatever response is received, including none.

Dear A/g Mayor and Councillors,

I am writing to you rather than to the CEO because this is a decision that belongs to you, and because the moment to influence it is now — while the document is being written — not after it arrives in a business paper with a recommendation attached.

Why this letter, and why now

Council's Invest Shoalhaven material confirms that a new Economic Development and Tourism Strategy 2035 is in development, to replace the Economic Development Strategy 2017–2026 and the Destination Management Plan 2018–2023. Plan development ran through the first half of this year. Public exhibition and Council approval are both scheduled for late 2026. Its stated focus areas include "increasing visitor numbers and spending".

That phrase is the reason for this letter. Increasing visitor numbers and increasing visitor spending are two different objectives, and a strategy that treats them as one thing can grow the first while going backwards on the second. That is not a hypothetical. It has just happened next door.

What an uncosted tourism strategy looks like

Kiama Municipal Council placed its draft Visitor Economy Strategy 2035 on exhibition in May. I have read all fifty-seven pages. I would encourage each of you to do the same before ours arrives, because it is the clearest available illustration of what goes wrong.

It contains no costings at all. There are thirty-seven actions across five focus areas — a Blowhole Point masterplan, harbour activation, a Coast Walk extension, night-time precincts, an accommodation prospectus. The section headed "Resourcing the Visitor Economy Strategy" runs four paragraphs without a single number. Funding is said to come from "Council budgets", "grants", "private sector investment" and "partnerships". Which budget, how much, and what each asset costs to maintain afterwards are not stated anywhere in the document.

Its own targets reduce visitor yield. Kiama's baseline is 1.13 million visitors spending $333 million — $293.70 per visitor. Its 2035 target is 1,841,126 visitors spending $532 million — $288.95 per visitor. Visitor numbers grow at 4.97 per cent a year; spending grows at 4.80. That is roughly 707,000 additional people, each worth about five dollars less than the visitors already there, before any allowance for inflation. The document nonetheless titles that goal "Grow High-Value Visitation" and states at page 53 that it "emphasises value and sustainability over volume". The chair of Destination Kiama told his council the aim was "quality, not quantity". The arithmetic does the opposite of what the language promises.

Its headline figures contradict its own evidence base. Page seven reports 1.2 million visitors and $390 million; page twenty reports 1.13 million and $333 million. Page seven puts average domestic stay at 3.3 nights; page fifty-five puts it at 2.6. Council's own 2026 spending target of $350 million sits forty million dollars below the figure printed on its own summary page, and the document never explains why.

The KPI table does not add up. It gives domestic visitors and international visitors the identical 2035 figure — 1,362,433 each — which would total 2.7 million against a stated total of 1.84 million. Corrected against the statewide split the strategy adopts, the international target is about 478,700, against 13,800 international visitors last year. That is a thirty-five-fold increase, taken from a state percentage with no municipality-specific reasoning offered. The same page describes the plan as delivering "an increase of approximately 771,000 visitors overall". Subtract the baseline from the target and the increase is 711,000.

All of this sits on a community survey of 104 people in a municipality of 22,970, which the document itself concedes "limits statistical inference".

I make no criticism of Kiama's staff. I raise it because these are not obscure errors. They are visible to anyone who divides one published number by another, and they survived drafting, internal review, a consultant, a council briefing and a public exhibition period without being caught.

Why Shoalhaven is less able to absorb this than Kiama

Kiama is under a Performance Improvement Order and is negotiating away five holiday parks to clear its deficit. Our position is not obviously better.

Council carries a road renewal backlog of approximately $280 million and a consolidated infrastructure backlog near $158 million. Ratepayers are already paying a 12 per cent special rate variation, approved by IPART in May 2025, and IPART's own determination recorded that even with it, "the council will still not be financially sustainable in the long term".

Three of the four Office of Local Government asset benchmarks — the Infrastructure Backlog Ratio, the Asset Maintenance Ratio, and the Cost to Bring Assets to Agreed Service Level — appear in Council's own budget papers as "TBA", on the stated ground that "asset management planning [is] not currently being mature enough to provide these estimates confidently".

We have also already published one uncosted long-range plan this year. The draft Community Infrastructure Strategic Plan 2056 ran to 511 exhibited pages covering 648 facilities and 1,147 recommendations. The dollar sign does not appear in it. No capital cost, no maintenance liability, no asset condition rating, no delivery years.

And we have a completed example of where that ends. The Shoalhaven Entertainment Centre was publicly described as a $24–27 million project; its recorded cost in Council's own 2026 Contributions Plan is $38.65 million. Consultants identified $1.145 million a year in building and fit-out renewal in 2018. It has never been funded. The venue lost approximately $3.07 million in 2024–25, and every new dwelling built anywhere in the local government area now contributes $488 towards recouping a building opened in 2008.

That is the whole argument, already tested locally, with twenty years of receipts attached.

The number Council does not currently hold

In February 2025, in response to written questions, Council advised me that "the tourism budget is unable to be extracted from the activity of the team who work across all industries and many areas of responsibility", and that on the question of what tourist infrastructure costs, "future revenue strategies and ways to finance infrastructure are questions to be directed to your elected members".

They are now being directed to you.

At the Finance and Infrastructure Review Panel on 2 June this year, Mayor White said that "the tourists are costing us money and we don't get any further money from anybody else to pay for that". I agree with her. But a strategy cannot be built on a cost Council has never quantified, and a council that cannot state what tourism costs it today cannot demonstrate that spending more on tourism tomorrow is in ratepayers' interests.

Council cannot levy a bed tax or a visitor charge. Under the Local Government Act it can only rate landowners. Every toilet block, car park, road shoulder and waste service the visitor economy depends on is therefore funded by residents, from Callala Bay to Kangaroo Valley, while the turnover stays private. That is a legitimate policy choice. It is not a legitimate thing to leave unstated in a ten-year strategy.

Four tests for the draft

I would ask each of you to hold the draft against these four things when it reaches you. If it fails them, it is not ready to be adopted, whatever its other merits.

One — a costed action table. Every action identified with its capital cost, annual operating cost, staffing requirement, renewal liability and named funding source, distinguishing general rates from fees, grants, restricted reserves, debt, developer contributions and private funding.

Two — a net ratepayer position. Additional recurring Council revenue attributable to the strategy, set against additional recurring Council expenditure on roads, waste, amenities, ranger and enforcement activity, parking, drainage and public-space maintenance. A visitor spending target is a measure of private turnover. It is not a return to ratepayers and should not be presented as one.

Three — whole-of-life costs. For every asset proposed: design and construction cost, annual maintenance, inspection and cleaning, renewal interval, replacement cost, expected life, and the budget responsible for it in year thirty. Coastal infrastructure is not maintenance-free, and a grant does not pay for year twelve.

Four — targets that survive division. Yield stated explicitly and separately — spend per visitor and spend per visitor night — alongside any total spending target, so that a volume

strategy cannot be adopted under a quality heading. Kiama's document fails this test on its own published figures.

Eight questions you are in a position to ask

These are questions I cannot compel an answer to. You can. Each is answerable in a sentence or two and none requires an officer to form an opinion.

1. Will the draft Economic Development and Tourism Strategy 2035 include a costed action table showing, for each action, capital cost, annual operating cost, renewal liability and named funding source? If not, on what basis will councillors assess affordability?

1. Will the draft state Council's net fiscal position on tourism — revenue attributable to visitors set against expenditure on the infrastructure and services they use?

1. Council advised in February 2025 that the tourism budget "is unable to be extracted". What work has been undertaken since to establish that figure, and will it be published with the draft?

1. Will the draft state a yield target — spend per visitor and per visitor night — separately from any total visitor spending target?

1. Will each infrastructure proposal carry a whole-of-life cost, including maintenance, renewal interval, replacement cost and the responsible future budget?

1. Which actions are contingent on grant funding, what co-contribution would Council be required to make, and what becomes of the strategy if those grants are not awarded?

1. Will Council commit that no new tourism asset — grant-funded or developer-delivered — will be accepted unless its operation, maintenance and renewal are provided for in the Long Term Financial Plan?

1. What is the current status of the three Office of Local Government benchmarks reported as "TBA", and will they be resolved before the strategy is put to a vote?

How to put this on the record

Any of the above can be asked as a Question on Notice. If you would prefer something with more force, the following is offered as draft wording for a Notice of Motion. It commits Council to nothing except the discipline of its own financial principles, and it is easier to move now than to amend a finished strategy later.

That Council resolve that the draft Economic Development and Tourism Strategy 2035, when reported to Council for exhibition, be accompanied by:

(a) a costed implementation table identifying for each proposed action the capital cost, annual operating cost, renewal liability and funding source;

(b) a statement of Council's net fiscal position on the visitor economy, showing attributable revenue against attributable operating and maintenance expenditure;

(c) whole-of-life costings for each proposed infrastructure item, including renewal interval, replacement cost and responsible budget; and

(d) yield targets expressed as spend per visitor and spend per visitor night, reported separately from total visitor expenditure.

I would be glad to provide any councillor with my full working — the Kiama page references, the arithmetic, and the source documents behind every figure in this letter — on request and without conditions.

None of this is an argument against tourism. Tourism sustains roughly 5,000 full-time-equivalent jobs across the Shoalhaven and underpins a large share of our 8,117 registered businesses, 85 per cent of which are sole traders or employ fewer than four people. A well-built strategy is worth having.

But a strategy is a request for money and priority, and the community is entitled to see the bill before Council signs it.

Kiama's councillors were not given that.

You still can be.

Yours sincerely,

Stephen Prothero
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This letter is published in full at steveprothero.substack.com. Any response received will be published in full. If no response is received, that will also be reported.
